

MARKET INTELLIGENCE REPORT

Slovenian Telecommunications Market: Competitive Dynamics Analysis

Filtering signals on whether competition is intensifying
or easing — 2024 through June 2026

Report date: June 9, 2026

Research scope: Telekom Slovenije · A1 Slovenia · Telemach · T-2

Methodology: Multi-source web research, financial filings, regulatory notices, trade press

Key Findings at a Glance

CURRENT VERDICT (MARCH-JUNE 2026)

Competition is intensifying — structural consolidation stalled by regulatory block

The Slovenian telecom market entered 2024 in a state of acute competitive intensity — price wars, unlimited data bundling, three-way FTTH overbuild, and one operator (T-2) collapsing under the pressure. The expected consolidation that would have eased these dynamics (Telemach's acquisition of T-2, announced August 2024) has been blocked in a Phase II regulatory investigation since March 2026. Competition is therefore more intense than the structural trajectory suggested it would be.

The market leader, Telekom Slovenije, is actively applying pressure through aggressive convergent bundling and a 5G Standalone launch. A1 Slovenia — the clearest loser — has escalated to legal warfare. Telemach is holding position while awaiting regulatory clearance. The AVK's decision on the Telemach/T-2 merger is the single most important variable for the next 6–12 months.

Dimension	Direction	Key signal
Retail pricing	Intensifying	Telekom aggressive bundle launch (May 2026); unlimited data baseline
Market structure	Intensifying	Merger blocked — 4 operators remain; T-2 still competing
Infrastructure	Intensifying	Telekom 5G SA launch; FTTH overbuild unresolved
Legal/regulatory	Intensifying	A1 new €30.4M suit vs Telekom (May 2026); €428M total claims
Financial pressure	Intensifying	A1 Slovenia absent from A1 Group growth contributors Q1 2026

Dimension	Direction	Key signal
Pricing trajectory (2026 plan)	Easing signal	A1 + Telemach coordinated price increases announced for 2026
Medium-term structure	Uncertain	AVK verdict on Telemach/T-2; PPF interest in Telemach itself

2024–2025: The Arc from Price War to Stalled Rationalization

Phase 1 (2023–mid-2024): Maximum Competitive Intensity

The market entered 2024 in a state of acute price warfare. The trigger was unlimited data bundling — A1's "MIO" plans and Telemach's "VEČ" bundles popularized uncapped data with premium speed tiers, forcing all operators to match or lose subscribers. The result was textbook margin compression.

A1 Slovenia: Only declining A1 Group market globally in FY2024

A1 Slovenia EBITDA fell **7.3% year-on-year in FY2024** — the only market across A1 Group's nine-country footprint to post a decline. Service revenues fell while subscriber volumes held, a sign that competition was structural, not cyclical. Slovenia contributed just 4% of group revenues and 3% of group EBITDA — the weakest margin contribution of any segment.

Source: A1 Group FY2024 Annual Report; heise online

Three-way FTTH overbuild amplified the pressure: Telekom SiOL (460,000+ fiber homes passed), Telemach's hybrid DOCSIS/XGS-PON cable network (~350,000 homes), and T-2's symmetric gigabit FTTH were all competing simultaneously in the same urban and suburban areas. This is a textbook unsustainable configuration.

When Telekom Slovenije raised prices (effective November 2024), Telemach, A1, and T-2 publicly declined to follow — the behavior of operators under subscriber acquisition pressure, holding price to absorb churn from the incumbent.

Phase 2 (late 2024): Consolidation Move — Telemach Acquires T-2

The key event was the **Telemach–T-2 acquisition** (binding agreement August 2024). This would have eliminated one of the four competing mobile

networks, removed the third FTTH builder, and given Telemach a dominant ~55% combined fixed broadband share.

"Consolidation of the telecommunications sector is essential to remain competitive on the Slovenian market and to promote digitisation and connectivity." — Tomislav Čizmić, CEO Telemach Slovenia, August 2024

Deal parameter	Detail
Announced	June 2024 (initial); August 2024 (binding SPA signed)
Stake acquired	≥98.06% of T-2
Deal structure	€90M debt assumption; €37M to SSH upfront, remainder by mid-2027
Combined mobile share (pro-forma)	~33% (Telemach 26% + T-2 7%)
Combined fixed broadband share	~55% — primary regulatory concern
Regulatory status (March 2026)	AVK Phase II in-depth investigation opened; no final decision

Behavioral Shift: Coordinated Repricing for 2026

In anticipation of consolidation, both A1 and Telemach announced coordinated price increases effective January 2026 — the opposite of the "rivals hold while Telekom raises" dynamic from 2024. Telemach's EON fixed packages increased by €2/month (2024), then a further €3/month announced for 2026. A1 made parallel adjustments.

This is early evidence of a market moving from a four-player price war toward oligopolistic repricing — a pattern that is interrupted, but not cancelled, by the regulatory block.

Operator Positions and Share Shifts

Mobile Market Share Trajectory

Operator	~2021-22	Q1 2024	End-2025 (est.)	Trend
Telekom Slovenije	~43.7%	~37%	~35.8–36.9%	Stable leader; growing revenue/profit
A1 Slovenia	~28.8%	~30.5%	~25.5%	Losing ground; revenue declining
Telemach	~19.2%	~25.9%	~24.7% (brand only)	Gaining; combined with T-2 = ~33%
T-2	~7–8%	~7%	Absorbed (pending)	Eliminated as standalone

Fixed Broadband

Telemach overtook Telekom Slovenije as the #1 fixed broadband provider in 2025, driven by T-2 integration. Telekom held ~34% with 213,000+ retail connections; T-2's ~21.9% share added to Telemach's ~33% creates a dominant combined position of ~55% — the central concern in the AVK probe.

MVNO Landscape

No significant new MVNO entrants were identified for 2024–2025. Existing MVNOs (HoT Mobil on A1, HIP Mobil and Spar Mobile on Telekom) remain niche. Telekom discontinued its "Izi" sub-brand effective August 2025. The high market concentration and ongoing consolidation deter new challenger entry.

5G and Fiber: Competitive Buildout Signals

5G: A Genuine Three-Way Race

Operator	Coverage	Speed (Opensignal 2025)	Key milestone
Telekom Slovenije	99% population (end-2025 target met)	109 Mbps avg 5G download	5G Standalone launch, early 2026 (first in Slovenia)
A1 Slovenia	~85% population	204 Mbps (fastest award, Opensignal)	Fixed Wireless Access rural deployment
Telemach	Lower coverage, higher peak	302.5 Mbps peak	€51.6M spectrum spend; €100M investment committed; 5G-Adria traffic project (Feb 2024)

Telekom leads on coverage breadth; A1 on quality (Opensignal award); Telemach on peak throughput. The 5G SA launch by Telekom is a meaningful differentiation move — it enables network slicing, sub-1ms latency, and enterprise services that competitors cannot yet match.

FTTH: Unsustainable Overbuild Resolving Slowly

Three-way FTTH overbuild was unsustainable — resolution is incomplete

Parallel fiber/cable networks (Telekom SiOL + Telemach + T-2) in the same urban areas intensified discounting and slowed investment payback. T-2's financial collapse was the first casualty. The Telemach acquisition would absorb T-2's fiber footprint, but the Phase II block means the overbuild situation is not yet resolved. Slovenia's FTTP household coverage at 76% is well above the EU average of 56%, underscoring the depth of infrastructure competition.

Regulatory Signals and Legal Warfare

AKOS: Wholesale Access Deregulation and A1's Response

In 2023, AKOS reduced certain wholesale access obligations for Telekom Slovenije in the central and local access markets, citing reduced market power concerns. A1 responded by filing a lawsuit in the Ljubljana District Court claiming approximately **€33.7 million in damages** for abuse of dominance.

On **May 11, 2026**, A1 filed a further suit for **€30.4 million**, covering the period November 2024 to March 2026. Total competitor claims against Telekom now exceed €190 million; Telekom reports 43 pending legal claims totalling approximately €428 million. This legal escalation is itself a competitive intensity signal — operators that resort to litigation are ones that feel commercially outgunned.

AVK Phase II Investigation: The Market's Biggest Wildcard

Phase II investigation opened March 16, 2026 — no final decision as of June 2026

The AVK found the Telemach/T-2 merger "raises serious doubts as to its compatibility with Slovenian competition rules" across all segments: mobile, fixed telephony, fixed broadband, and linear TV. T-2 is explicitly characterized as "an important driver of competition".

Outcome scenario	Probability (qualitative)	Competition impact
Approved with remedies (wholesale access, asset divestitures)	Most likely	Easing — structural rationalization with guardrails
Unconditional approval	Less likely	Strongest easing — fastest path to rationalization
Blocked — T-2 enters bankruptcy restructuring	Less likely	

Outcome scenario	Probability (qualitative)	Competition impact
		Short-term intensification; same long-term outcome via messy route

An additional complication: Czech media group **PPF** (owner of Pop TV/CME) has reportedly shown interest in acquiring Telemach itself, which could either derail the T-2 deal or introduce a new ownership dynamic entirely.

EU Digital Networks Act

The EU Council approved political guidance in December 2024; the Commission is expected to propose the full DNA by end-2025. The Act may ease wholesale access obligations that currently constrain investment differentiation. This is a long-term easing signal for all operators — but implementation timelines mean it will not affect competitive dynamics before 2027 at the earliest.

AKOS: AI Regulation Mandate (2026)

AKOS was designated as Slovenia's national lead authority for EU AI Act enforcement in 2026, including establishing a regulatory sandbox by August 2, 2026. This is an expansion of mandate unrelated to telecom market competition, but signals the regulator's bandwidth is being consumed by new obligations.

Last 3 Months: March–June 2026

NEAR-TERM VERDICT

Competition is intensifying — consolidation thesis stalled, Telekom applying pressure, A1 in legal warfare

Signal 1 — Merger Blocked (Most Important)

AVK Phase II opened March 16, 2026 — T-2 remains a live competitor

As long as the Phase II investigation runs, T-2 continues operating as a separate (if weakened) competitive force. The market remains at 4 operators. The structural rationalization expected to ease pricing pressure is on hold, and its outcome is genuinely uncertain.

Signal 2 — Telekom's Aggressive Bundle Launch (May 2026)

Telekom launches convergent package marketing €2,000+ family savings

Telekom Slovenije introduced a new mobile-fixed "Naj+Neo" convergent package in May 2026. Mobile plans from €10.99/month; fixed from €32.99/month. This is a direct attack on Telemach's bundle dominance and is the behavior of a profitable market leader choosing to compete aggressively.

Telekom Q1 2026: revenue +4%, net profit +12%, EBITDA +7%. An operator applying pressure from strength.

Source: Telecompaper, May 2026

Signal 3 — Telekom 5G Standalone (Early 2026)

First 5G SA in Slovenia — differentiation arms race escalating

Telekom launched Slovenia's first 5G Standalone network with Ericsson, enabling network slicing, VoNR, and enterprise services. Neither A1 nor Telemach can match this capability yet. This raises the infrastructure stakes and shifts competition from coverage quantity to service quality.

Source: Ericsson press release; Telecompaper

Signal 4 — A1 Escalates to Legal Warfare (May 11, 2026)

A1 files new €30.4M suit vs. Telekom — total claims now €190M+

A1 Slovenia filed a follow-on damages suit against Telekom for alleged wholesale access abuse (November 2024–March 2026). This is the clearest distress signal: operators that file damages suits are ones that cannot win commercially. A1 was not mentioned among A1 Group's growth contributors in either FY2025 or Q1 2026 commentary.

Source: SeeNews, May 2026

Operator Posture Summary (June 2026)

Operator	Current posture	Pressure direction
Telekom Slovenije	Aggressive bundling, 5G SA launch, profitable growth	Applying pressure
A1 Slovenia	Litigation, defensive, no growth signal visible	Under pressure — reactive
Telemach	Merger blocked, maintaining unlimited pricing, strong group results	Holding; watching AVK
T-2	Operating independently; financially fragile	Wildcard — sustaining price competition

What to Watch: Leading Indicators

The Fork in the Road

The next 6–12 months hinge entirely on the AVK's decision on the Telemach/T-2 merger:

Scenario A — Merger approved (with or without remedies)

Market rationalizes quickly. 4→3 players. Overbuild reduces. T-2's infrastructure absorbed. Coordinated pricing resumes. **Competition eases materially.** Telemach becomes dominant in fixed; Telekom retains mobile leadership; A1 may seek consolidation or be acquired.

Scenario B — Merger blocked; T-2 enters bankruptcy restructuring

Short-term chaos as T-2 assets are repriced or liquidated. A1 remains under pressure with no structural relief. Telekom continues to strengthen. Same long-term consolidation outcome via a messier route. **Competition remains intense through 2027.**

Scenario C — PPF acquires Telemach

Introduces a new well-capitalized media/telecom owner. Could revitalize competitive aggression or lead to re-evaluation of the T-2 deal. **Outcome uncertain** — depends on PPF's strategic intent vs. United Group's infrastructure-first approach.

Leading Indicators Scorecard

Indicator	Direction	Implication
4→3 MNO consolidation	Potential easing	Less price competition in mobile — if approved
AVK Phase II investigation	Uncertain	Most important single variable

Indicator	Direction	Implication
A1 revenue under sustained pressure	Risk of aggression	A1 may launch promotional counter-offensive to stop share erosion
Coordinated 2026 price increases (A1+Telemach)	Easing signal	Oligopolistic repricing underway — fragile but present
Telekom 5G SA — capability differentiation	Easing on price	Competition shifting to quality axis; less pure price warfare
No new MVNO entrants	Easing	Low structural threat from challengers
EU Digital Networks Act (2025–2027)	Long-term easing	May ease wholesale obligations; reduces infrastructure sharing mandates
PPF interest in Telemach	Wildcard	Could revitalize or complicate competitive dynamics
5G SA enabling enterprise/B2B	New front opening	Competition intensifying in B2B segment specifically

The Operator to Watch: A1 Slovenia

A1 is the market's leading indicator for competitive intensity. As the operator losing ground in all segments, it is under parent-company pressure to restore margins — yet it was the only declining market in a nine-country group. If A1 launches a promotional counter-offensive to stop share erosion, that is the signal for another aggressive phase. If it continues to absorb losses quietly through litigation, the market is moving toward a Telekom/Telemach duopoly with A1 as a distant third. **Watch A1 Slovenia's H1 2026 results (expected August 2026) as the next key datapoint.**

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